Chapter Thirteen

State of Land Resources

Land is the First Asset Class

An asset produces an income or saves expenditure. Most real assets like land, buildings and machines are employed in the production of goods and services. Real assets contribute to value addition, which is part of the GVA and GDP. Financial assets like equity and debt generate financial income. Some real assets like house property not used for one's own residential purposes also behave like financial assets. Financial assets also contribute income by their rising valuation.

Earth was a silent factor of production before human labour made it an active factor of production by converting forests and grasslands into agricultural fields to produce crops, vegetables, fruits and clothing to sustain human life and make it better. Land is the first asset humanity thus 'created'. Wild land got turned into agricultural land and residential land where humans built houses/shelters to live in and keep their domesticated animals. In due course, the ownership of agricultural and residential land got recognized as private assets owned by individuals, families, estates and communities. Land became the basis of human settlements; it provided food and produced income from surplus crops. Human civilization took root.

Over the millennia, agricultural lands got concentrated in fewer hands. Estates symbolized the concentration of the asset in a fewer number of people. The majority of people, in many countries, turned to work on lands owned by others in their estates or farms and got transformed into another factor of production: labour. Land and labour were the two principal factors